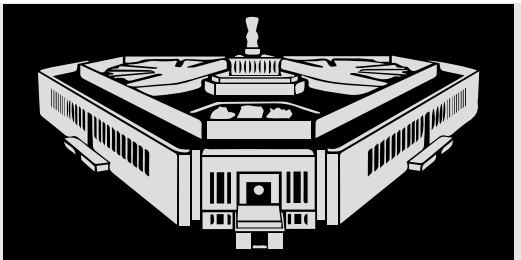
to examine the validity of using the money bill route for the Finance Act, several other crucial legislations passed as money bills—such as the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016; the electoral bonds scheme in 2017; and, more recently, amendments to the Prevention of Money Laundering Act (PMLA) and the Life Insurance Corporation (LIC) Act will come under judicial review.

Any adverse verdict will have a far-reaching impact. For instance, former Delhi deputy chief minister Manish Sisodia is in jail facing charges under the amended PMLA, which expanded the definition of money-laundering and proceeds of crime, and the list of offences the Enforcement Directorate (ED) can investigate, besides making bail conditions more stringent. Similarly, critics claim the electoral bonds scheme—the legality of which is already being scrutinised by a five-judge Supreme Court bench—unfairly benefits the ruling BJP, which has cornered over 50 per cent of the total funds political parties have received through the bonds. The case gathers an extra buzz ahead of the 2024 election.

The primary contention before the constitution bench in all these cases is that since the BJP-led Union government lacked a majority in the Rajya Sabha, it introduced several bills as money bills to bypass the upper house (see *What's a Money Bill?*). Generally, for a bill to be enacted, the approval of both houses of Parliament is required. But a money bill can be introduced only in the Lok Sabha. The Rajya Sabha can only suggest amendments, which are up to the lower house to accept or reject. If a dispute arises over whether a bill is a money bill or not, the Lok Sabha speaker's decision is deemed final. However, a five-judge constitution bench of the Supreme Court, in 2018, while clearing the Aadhaar Act as a valid money bill under Article 110 of the Constitution, ruled that the speaker's decision is subject to judicial scrutiny.



WHAT'S A MONEY BILL?

- According to Article 110 of the Constitution, a bill is deemed to be a money bill if it deals "only" with matters specified in Article 110 (1)(a) to (g)—taxation, borrowings by the government and appropriation of money from the Consolidated Fund of India, etc.
- Article 110(1)(g) adds that "any matter incidental to any of the matters specified in Articles 110(1)(a)-(f)" can also be classified as a money bill
- The government has cited this clause to introduce legislations such as the Aadhaar Act, 2016, and the recent amendments to the Prevention of Money Laundering Act, 2002, as money bills
- Generally, for a bill to be enacted, the approval of both houses of Parliament is required. But a money bill can be introduced only in the Lok Sabha. The Rajya Sabha cannot amend or reject it, only suggest amendments, and it's up to the Lok Sabha to accept or reject these
- If a dispute arises over whether a bill is a money bill or not, the LS speaker's decision is final. However, the Supreme Court in 2018 stated that this decision is subject to judicial scrutiny

THE OPPOSITION ALLEGES THAT MANY KEY LEGISLATIONS WERE INTRODUCED AS MONEY BILLS TO BYPASS THE RAJYA SABHA, WHERE THE GOVERNMENT LACKS A MAJORITY

The 2018 judgment held that the Aadhaar Bill was a money bill as its chief objective was to grant social welfare benefits from the Consolidated Fund of India (CFI). Other provisions, the court ruled, were incidental and could not change the fundamental nature of the Act. The lone dissenter in this 4:1 majority verdict was the current CJI, who said the passage of the Act as a money bill constituted a "fraud on the Constitution" because anything can then be passed as a money bill by linking it to the CFI. Rejecting the government's argument that the law is validly categorised as a money bill since the subsidies distributed through Aadhaar flow from the CFI, Justice Chandrachud pointed out that Article 110 is clear that the draft law must deal "only" with the subjects pertaining to taxation, credits, consolidated money, the Union government's spending and borrowings.

In November 2019, during a hearing in the Rojer Mathew case, another five-judge constitution bench held that the 2018 judgment did not discuss the significance of the word "only" in Article 110(1). It also noted that in the Aadhaar case, the judgment "did not elucidate and explain the scope and ambit of sub-clauses (a) to (f) to clause (1) of Article 110"—which relate precisely to the subjects Justice Chandrachud had alluded to as being the only valid grounds for having a money bill. The top court then struck down the Finance Act, 2017, and referred the issue of examining the validity of its passage as a money bill to a larger bench.

In May 2021, the government passed the Finance Act, 2021, and